

Merlin Entertainments

Location-based family entertainment: LEGOLAND, Madame Tussauds, SEA LIFE, London Eye, Alton Towers (Motion Finco S.à r.l. SSNs / TLBs)

Prepared for internal use, CMCK Associates

Last updated: **28-Sep-2026**
CFR: Caa1 neg (Moody's) / CCC+ (S&P)

SECTOR / INDUSTRY Consumer Discretionary: theme parks and attractions	COUNTRY United Kingdom (HQ); 131 attractions in 22 countries	COMPANY TYPE Private, sponsor-owned (take-private Oct-2019)	TICKER n/a: unlisted
OWNERSHIP / SPONSOR KIRKBI 47.49% / Blackstone 31.99% / CPP Investments 15.5%	LAST UPDATE DATE 28-Sep-2026 (financials LTM 27-Jun-2026)	COVERAGE STATUS 9fin covered; resources upload (pricing, holders) used	SECURED RATINGS Caa2 neg (Moody's, 16-Sep-26) / B-CW Neg (S&P, 14-Sep-26)

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Trigger: leverage / maturity wall (primary), liquidity (secondary). The GBP 657m private credit deal takes out the Nov-2027 SUNs and should remove the Aug-2027 springing maturity on the secured debt. It does not delever: PF net leverage is c.9.6x (c.10.2x on 9fin's ex-LDC EBITDA), LFCF stays negative, and GBP 3.2bn of existing secured debt now shares its collateral with GBP 657m of new money. Secured paper is at series lows (SSNs c.63, TLBs c.69-70).

KEY MESSAGES ON THE SEPTEMBER 2026 REFINANCING

- 1. The transaction.** On 10-Sep-26 Merlin signed commitment documentation for a **GBP 657m-equivalent senior secured term loan** (USD 396m + EUR 418m) led by Monarch and GoldenTree, to refinance the c.GBP 630m 2027 SUNs (USD 410m 6.625% / EUR 370m 4.5%, issued by Motion Bondco DAC). Reported pricing is **S/E+650bps** (9fin sources), with a six-year tenor that springs to before 2030 if other debt is not refinanced. Security is shared with the existing secured debt, plus **exclusive security over previously unencumbered UK attractions**: the London Eye, SEA LIFE London, Shrek's Adventure! London and the UK Dungeons. Closing is expected by end-2026.
- 2. PF capital structure.** Gross secured debt rises from GBP 3,240m (5.7x) to c.GBP 3,897m (6.9x). Total net debt is broadly unchanged at c.GBP 5.44bn (c.9.6x on GBP 568m LTM EBITDA). Unsecured debt at Bondco is eliminated. On 9fin's estimate, the deal adds c.GBP 30m of annual interest.
- 3. What it means for the SSNs and TLBs that were not refinanced.** They gain maturity relief but lose collateral quality. A further GBP 657m of secured claims now ranks alongside them on the shared collateral (+20% of claims), and a new asset pool sits outside their reach. On a CMCK reading of the indenture, the SSNs' super senior basket could also have allowed some priority on shared collateral (unconfirmed). The market has repriced accordingly: the USD SSNs are down 12-13pts since 9-Sep, to c.63 (c.18.6-19.2% approx. YTM).

BUSINESS DESCRIPTION

Merlin is the world's third-largest location-based family entertainment operator by visitors: 131 attractions in 22 countries, 60.5m guests and GBP 1,999m of revenue in FY2025. It runs three brand groups: **LEGOLAND Parks** (11 resorts incl. Legoland Shanghai; c.43% of revenue), **Gateway / Midway Attractions** (indoor city-centre sites such as Madame Tussauds, SEA LIFE, the Dungeons and the London Eye; c.36%) and **Resort Theme Parks** (Alton Towers, Thorpe Park, Chessington, Warwick Castle, Gardaland, Heide Park; c.21%). The brand-group split is as at LTM Sep-24 (9fin Credit QuickTake, 27-Jan-25). About 82% of revenue comes from admissions and in-park spend, and c.14% from accommodation. Merlin holds the exclusive worldwide LEGOLAND licence from KIRKBI to at least 2075. From FY26 it reports three regions: North America, UK and International.

Corporate history: Merlin was taken private in Oct-2019 by KIRKBI and Blackstone (co-investors since 2005), joined by CPP Investments, at an EV of c.GBP 5.9bn (c.12x EBITDA). The deal was funded with GBP 3.3bn of new debt, lifting leverage from c.4x to c.7.5x (S&P). In FY25 Merlin took a GBP 262m impairment on the Madame Tussauds brand. It then sold its 29 LEGO / Legoland Discovery Centres to sister company The Lego Group, completing on 27-Feb-26; the net proceeds of GBP 216m were used to repay RCF drawings. **Property note:** per 9fin's 19-Jun-26 analysis, the new collateral sites sit on **leased** land, as do Alton Towers, Thorpe Park and Warwick Castle (leased from LondonMetric). The new security is therefore over operating assets and leasehold interests, not freehold real estate.

SITUATION OVERVIEW

Trading has diverged by region. **North America** is recovering: H1-26 revenue grew 5.9% at constant currency and EBITDA 20.6%, helped by the LEGO Galaxy openings at Legoland California and Florida and by cost savings. **The UK has deteriorated:** H1-26 revenue fell 5.8% and EBITDA 26.2%, with segment margin down from 26.0% to 20.4%. Management cited weak consumer confidence, a hot Q2, softer inbound tourism to the London Gateway sites and annual-pass revenue timing. The Middle East conflict also weighed on international travel in Q1-26. At group level, LTM revenue has fallen from GBP 2,125m (FY23) to GBP 1,938m and Adj. EBITDA from GBP 675m to GBP 568m. Net leverage has risen from 7.7x to 9.5x over the same period (S&P cut the CFR to CCC+ in Aug-25).

The capital structure has been unable to self-fund. LFCF has been negative in every period since FY23, running at c.GBP -100m to -125m a year, because cash interest (GBP 349m LTM) exceeds unlevered FCF (GBP 290m LTM). The 2027 SUNs were the pressure point: 9fin disclosed (9-Jun-26) that the RCF, TLBs and SSNs become current if the SUNs are not refinanced by 15-Jul-27 (RCF) or 15-Aug-27 (TLBs / SSNs). Merlin hired Kirkland (Jun-26) and PJT (Aug-26), considered sale-and-leasebacks, a UK aquarium sale, a new HY bond, a TLB extension and a partial sponsor equity injection, and chose secured private credit. 9fin's 10-Sep-26 analysis calls the deal a temporary fix: mid-term risk remains, with the 2029-2032 secured stack coming into focus in 2028 against c.10x leverage. Buyside sources quoted by 9fin describe it as a "band-aid". The shareholders issued a joint statement of support, but no new equity was contributed.

THE TRANSACTION: GBP 657M NEW TERM FACILITY (ANNOUNCED 10-SEP-2026)

Term	Detail	Source
Size / tranches	USD 396m + EUR 418m, c.GBP 657m equivalent. Fully committed; a portion is reserved for syndication to existing creditors	Merlin RNS, 10-Sep-26
Borrower / guarantors	Announced by Merlin Entertainments Limited. The borrowing entity and guarantor list are <i>not disclosed - further diligence required (facility agreement)</i>	Merlin RNS, 10-Sep-26
Lenders	Led by Monarch Alternative Capital and GoldenTree. Oaktree was named in the earlier (28-Aug-26) proposal. Final allocations are not available	9fin, 17-Sep-26
Pricing	SOFR / EURIBOR + 650bps (9fin sources). 9fin assumes an all-in cost of at least 10%, i.e. c.GBP 65m a year vs c.GBP 35m of coupon on the SUNs, or c.GBP 30m of incremental interest. OID, fees, PIK toggle and call protection: <i>not available - further diligence required (term sheet / facility agreement)</i>	9fin analysis, 10-Sep-26
Maturity	Six years from close (c.late 2032). A springing maturity brings it forward to before 2030 if other debt is not refinanced; the exact trigger is not disclosed. Amortisation: <i>not available</i>	9fin, 17-Sep-26
Security	(i) "Secured alongside" the existing senior secured financing on the shared collateral; plus (ii) exclusive security over the "Portfolio": the London Eye, SEA LIFE London, Shrek's Adventure! London and the UK Dungeons (London, York, Edinburgh). Merlin retains ownership and operation. The sites are leasehold (9fin, 19-Jun-26). Collateral value: <i>not disclosed - further diligence required</i>	Merlin RNS; 9fin, 19-Jun-26
Covenants	Maintenance package <i>not disclosed - further diligence required (facility agreement)</i>	n/a
Use of proceeds	Refinance the c.GBP 630m SUNs due Nov-27 at Motion Bondco DAC, plus general corporate purposes and costs. Market reads it as a full take-out at par. Tender / redemption mechanics are not yet launched	Merlin RNS; 9fin, 10-Sep-26
Advisers	Company: PJT Partners, Kirkland & Ellis. Existing secured lender group: Gibson Dunn (organised since at least 25-Aug-26)	9fin, 27-Aug-26
Timing	Commitment papers signed 10-Sep-26; closing expected by end-2026, subject to customary conditions. Not yet closed	Merlin RNS
Market / rating reaction	SUNs rallied c.3pts towards par; SSNs sold off on recovery dilution. S&P placed Motion Midco's B-secured rating on CreditWatch Neg (14-Sep). Moody's affirmed the Caa1 CFR, cut the secured instruments to Caa2 and moved the outlook to negative (16-Sep). The full rating rationales are paywalled	9fin, 17-Sep-26; Moody's / S&P releases

CAPITAL STRUCTURE: CURRENT (30-JUN-2026) VS PRO FORMA FOR THE TRANSACTION

Instrument	Issuer / ranking	Current GBPm	PF GBPm	x EBITDA (PF)	Rate	Maturity	Price 28-Sep-26	YTM	Rating (Moody's)
RCF (GBP 428m)	Motion Finco; senior secured, shared collateral	40	40	0.07x	SONIA/E + n.d.	May-29	n/a	n/a	n/a
TLB EUR 1,020m	Motion Finco; senior secured	879	879	1.55x	E+375	Nov-29	69.8	n.c.	Caa2
TLB USD 1,370m	Motion Finco / Finco LLC; senior secured	1,029	1,029	1.81x	S+350	Nov-29	68.5	n.c.	Caa2
SSN EUR 700m 7.375%	Motion Finco; senior secured	603	603	1.06x	7.375%	Jun-30 / Aug-30*	70.1*	n/a	Caa2
SSN USD 500m 7.375%	Motion Finco; senior secured	378	378	0.67x	7.375%	Feb-31	63.3	~19.2%†	Caa2
SSN USD 410m 8.375%	Motion Finco; senior secured	311	311	0.55x	8.375%	Feb-32	63.4	~18.6%†	Caa2
New Term Facility (USD 396m + EUR 418m)	Borrower n.d.; shared collateral + exclusive UK Portfolio	-	657	1.16x	S/E+650	c.2032 (spring <2030)	n/a	n/a	n.r.
Gross secured debt		3,240	3,897	6.86x	Current 5.7x gross / 5.5x net secured (9fin cap table)				
SUN USD 410m 6.625% + EUR 370m 4.5%	Motion Bondco DAC; unsecured, outside SSN RG	630	-	-	6.625% / 4.5%	Nov-27	c.98-100‡	n/a	n/a
Leases (IFRS 16) and other		1,646	1,646	2.90x	Leases GBP 1,638m; other GBP 8m (balancing item to 9fin gross debt)				
Gross debt		5,516	5,543	9.76x	Current 9.7x				
less: cash		(100)	(100)	PF cash held flat: net proceeds after fees are not disclosed					
Net debt		5,416	5,443	9.58x	Current 9.5x. On 9fin's "cleaner" ex-LDC EBITDA of c.GBP 535m: c.10.1x current / c.10.2x PF				

Current figures: 9fin cap table as of 30-Jun-26 (LTM Underlying EBITDA GBP 568m, IFRS 16). The PF column is a CMCK calculation that adds the GBP 657m facility and removes the GBP 630m SUNs. It does not model FX, fees or accrued interest, and will differ at close. All secured instruments rank pari passu on the shared collateral as currently documented. The USD TLB is USD 1.37bn outstanding per the cap table; the pricing file labels it USD 1,385m, most likely the original issue size before 1% p.a. amortisation (CMCK inference). Prices are from the uploaded 9fin pricing export. *The EUR 2030 SSN is not in the export. Its price is the 25-Sep-26 level from the 9fin European Weekly Stressed and Distressed Data Report (-4.9pts on the week). That report shows maturity Aug-30 vs Jun-30 in the 9fin cap table: *unresolved, further diligence required (2030 SSN OM)*. †Approximate YTM, CMCK estimate using a simple yield formula; not source-quoted. n.c.: not computed for floating-rate loans (reference rate not in the file). ‡9fin news text, 10-Sep-26. The S&P CFR is CCC+ (Aug-25); Moody's CFR is Caa1 neg.

WHAT THE DEAL MEANS FOR THE SSNS AND TLBS THAT WERE NOT REFINANCED

The EUR 700m 2030s, USD 500m 2031s and USD 410m 2032s (SSNs), and the EUR 1,020m / USD 1,370m TLBs due Nov-29, were not refinanced. Together that is GBP 3.2bn of secured debt. The net effect is **better near-term default risk, but worse recovery**.

Effect	Assessment	Status
Springing maturity removed (positive)	Once the SUNs are repaid, the 15-Jul-27 (RCF) and 15-Aug-27 (TLB / SSN) springing maturities should fall away. Without the deal, the whole secured stack would have gone current in mid-2027. This is the main benefit to existing holders.	Expected on close; not confirmed
More claims on the same collateral	GBP 657m of new secured debt ranks alongside the existing GBP 3,240m on the shared collateral. Claims on that pool rise by c.20%, and existing holders' pro rata share falls to c.83%. Secured leverage rises from 5.7x to 6.9x. The debt being repaid was unsecured and structurally subordinated at Bondco, so it did not compete for this collateral.	Confirmed ("secured alongside", RNS)
New asset pool outside the SSNs' reach	The London Eye, SEA LIFE London, Shrek's and the UK Dungeons were previously unencumbered, so they were value available to all creditors on a default. They now secure the new lenders only. In an enforcement, the new lenders can recover from both pools. How much of their claim is left against the shared pool depends on intercreditor terms that are <i>not disclosed</i> . The value of the Portfolio is also <i>not disclosed</i> . For context, the UK segment made GBP 205m of EBITDA in FY25 (35.9% of group), but the four sites are not separately reported.	Confirmed; value n.d.
Possible priority on shared collateral INFERENCE	The SSN indentures' Permitted Collateral Liens clause allows up to the greater of GBP 601m / 100% LTM EBITDA of debt to take "super senior priority status" over enforcement proceeds. The 4.75x secured ratio route is closed at 5.7x. The new facility's size is close to this basket, and buyside sources describe the stack as "primed". However, no source confirms that the facility has priority rather than parity. If it did, existing holders' attachment point would move from 0x to c.1.2x EBITDA.	CMCK reading of 9fin covenant text; unconfirmed
Maturity sequencing	Headline tenor is c.2032, alongside or after the SSNs. However, the springer can pull the new facility forward to before 2030 if other debt (presumably the Nov-29 TLBs) is not refinanced. In that case the new lenders would sit ahead of the 2030-32 SSNs in time as well as in collateral.	Trigger detail n.d.
Consent	The Portfolio sat outside the indentures' defined Collateral, so pledging it falls under ordinary Permitted Liens , not the negative pledge. No consent solicitation has been reported. INFERENCE	Unconfirmed either way
Cash cost	c.GBP 30m of extra annual interest (9fin estimate) against LFCF already at GBP -104m LTM. That implies PF LFCF of c.GBP -134m (CMCK arithmetic) and PF interest cover of c.1.4x.	Estimate
Holder organisation	A cross-holder secured group (SSNs and TLBs) has been advised by Gibson Dunn since at least 25-Aug-26. No SSN-only group, term sheet or litigation threat has been reported. The USD 2031 SSN holder base is mostly long-only (Artisan, Lord Abbett, BlackRock); the top 10 hold 27.4%.	9fin news; resources upload

Price reaction (uploaded 9fin pricing export). The secured paper had already been falling on maturity risk (USD 2031 SSN 81.4 on 9-Jun-26, 75.4 on 25-Aug-26). It held flat on the announcement (75.9 on 10-Sep), then fell as the terms were digested: 72.5 on 15-Sep, 71.1 after the Moody's downgrade (16-Sep), 63.6 on 25-Sep and 63.3 on 28-Sep. **Change since the 9-Sep pre-announcement close: 2032 SSN -11.9pts, 2031 SSN -12.8pts, EUR TLB -7.7pts, USD TLB -10.2pts.** In the week to 25-Sep, the SSNs fell 6.5-7.5pts and the EUR TLB 5.9pts. All four priced instruments are at or within 0.01pt of their Jan-24 to Sep-26 lows, against highs of 100-104. The SSNs trading c.6pts below the TLBs, despite pari passu ranking, is consistent with the market pricing longer duration and higher perceived exposure to further priming.

KEY CATALYSTS

Liquidity

GBP 466m at 30-Jun-26: GBP 100m cash plus GBP 388m undrawn RCF, less GBP 22m of LCs (9fin cap table). This compares with GBP 476m at Q1-26. RCF drawings fell from GBP 160m at FY25 to GBP 40m after the LDC proceeds. Against PF LFCF of c.GBP -134m a year, headroom covers c.3.5 years of burn before seasonality (CMCK arithmetic). The PF liquidity at close is *not available*.

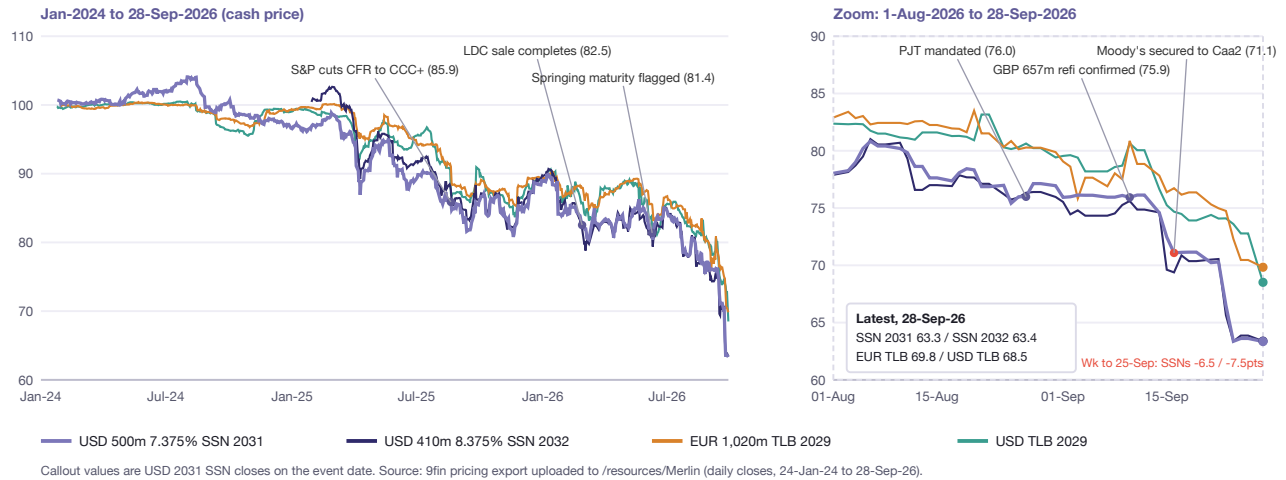
Covenant Headroom / Tests

RCF springing covenant: Consolidated Senior Secured Debt Ratio of 10.0x or below, tested only when the RCF is more than 40% drawn (above GBP 171m). At 30-Jun-26 the RCF was 9.3% drawn (GBP 40m) and net secured leverage was 5.5x, so the test is not live. Even PF (c.6.7x net secured) there is c.3.3x of headroom. **Springing maturity:** 15-Jul-27 / 15-Aug-27 if the SUNs are not refinanced; this deal is designed to remove it. **Incurrence:** 4.75x secured ratio debt capacity is exhausted at 5.7x, so further secured debt depends on fixed baskets.

LIQUIDITY BUILD (30-JUN-2026)

Item	GBPm	Comment
Cash and equivalents	100	9fin cap table
RCF commitment / drawn	428 / (40)	9.3% utilised; drawings cut from GBP 160m (FY25) with LDC proceeds
Letters of credit	(22)	Utilised against the RCF
Total liquidity	466	Company reported
Minimum operating liquidity	<i>n.a.</i>	Not disclosed - further diligence required (SFA / annual report treasury note)

TRADING DATA: SECURED DEBT PRICES



DEBT HOLDINGS

USD 500m 7.375% SSN 2031: 9fin Holders and Transactions export, updated 24-Sep-26 (26 holders)

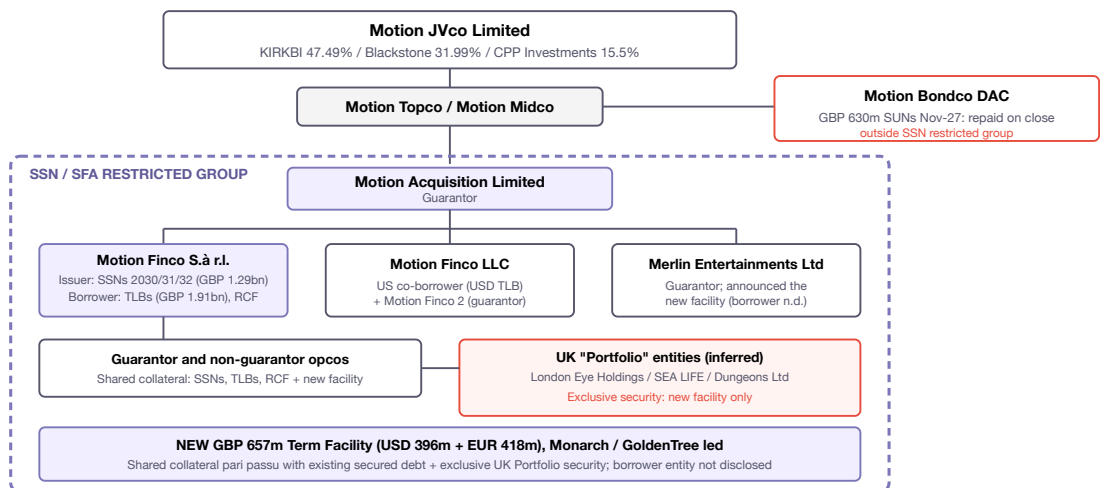
#	Holder	USDm	%	Cum. %
1	Artisan Partners	33.3	6.66%	6.66%
2	Lord Abbett	31.6	6.31%	12.97%
3	BlackRock	22.1	4.43%	17.40%
4	New York Life Investments	13.2	2.64%	20.04%
5	SPDR ETFs	12.8	2.56%	22.60%
6	Nuveen Securities	8.8	1.76%	24.36%
7	AllianceBernstein	4.7	0.95%	25.31%
8	Hartford Funds	3.9	0.78%	26.09%
9	Eurizon	3.5	0.70%	26.79%
10	PIMCO	2.8	0.57%	27.36%
Top 10 total		136.8	27.36%	-

EUR 1,020m TLB 2029: 9fin Holders and Transactions export, updated 22-Sep-26 (34 holders)

#	Holder	EURm	% of 1,020m	Cum. %
1	CVC Credit Partners	91.5	8.97%	8.97%
2	PGIM	54.3	5.33%	14.29%
3	Five Arrows Managers	44.6	4.37%	18.66%
4	Carlyle Investment Mgmt	38.8	3.80%	22.47%
5	KKR Financial Advisors	36.8	3.61%	26.07%
6	Blackstone Inc.	30.5	2.99%	29.06%
7	Investcorp	25.4	2.49%	31.55%
8	Onex Credit Partners	23.3	2.28%	33.83%
9	Sculptor Capital	22.8	2.23%	36.06%
10	Arini Capital Mgmt	15.5	1.52%	37.58%
Top 10 total		383.3	37.58%	-

The SSN percentages are as shown by 9fin and reconcile to the USD 500m base. For the TLB, 9fin's own "% of instrument" column implies a base of c.EUR 1.92bn (e.g. CVC EUR 91.5m = 4.76%) rather than EUR 1,020m, and is **unresolved - further diligence required (9fin methodology)**. The table therefore shows CMCK-calculated percentages of EUR 1,020m (9fin's column sums to 19.97% for the top 10). The TLB holder base is CLO / private credit-heavy. **Blackstone Inc.** (a credit affiliate of the equity sponsor, relationship to the equity stake not confirmed) and **Arini** (active in Merlin CDS, 9fin 18-Jun-26) both appear. No holder data exists for the RCF, the EUR 2030 or USD 2032 SSNs, the USD TLB or the new facility.

GROUP STRUCTURE (SIMPLIFIED; PRE-TRANSACTION ORG CHART, JAN-2025)



Source: 9fin org chart (26-Jan-25, from the 2032 SSN OM p.55) and the Merlin RNS (10-Sep-26). The org chart predates the transaction. The Portfolio pledgors are CMCK inferences from the OM subsidiary schedule (London Eye Holdings Ltd, Merlin Entertainments (SEA LIFE) Ltd, Merlin Entertainments (Dungeons) Ltd) and are not confirmed.

SUMMARY FINANCIALS (GBPM, IFRS 16)

(GBPm)	FY2023	FY2024	FY2025	LTM Jun-26	PF LTM (est.)
Revenue	2,125	2,057	1,999	1,938	1,938
Gross profit (margin)	1,737 (81.7%)	1,675 (81.4%)	1,621 (81.1%)	1,579 (81.5%)	-
Adj. (Underlying) EBITDA	675	573	571	568	568 / c.535 ex-LDC
Adj. EBITDA margin	31.8%	27.9%	28.6%	29.3%	-
Reported EBITDA (pre-adjustments)	<i>n.a.</i>	540	521	527	-
Net debt (incl. leases)	5,181	5,378	5,468	5,416	c.5,443
Net debt (excl. leases)	3,548	3,744	3,848	3,778	c.3,805
Net leverage (IFRS 16)	7.7x	9.4x	9.6x	9.5x	c.9.6x
Net secured leverage	<i>n.a.</i>	<i>n.a.</i>	5.6x	5.5x	c.6.7x
Interest cover (Adj. EBITDA / finance costs)	1.7x	1.6x	1.6x	1.5x	c.1.4x

Free Cash Flow Build

(GBPm)	FY2023	FY2024	FY2025	LTM Jun-26	PF LTM (est.)
Adj. EBITDA	675	573	571	568	568
less: cash tax	(55)	(42)	27	(9)	(9)
+/- change in NWC	(42)	44	(39)	(12)	(12)
less: capex	(298)	(357)	(271)	(257)	(257)
Unlevered FCF	280	218	288	290	290
less: cash interest	(326)	(297)	(347)	(349)	c.(379)
less: lease capital repayments	(37)	(46)	(45)	(45)	(45)
Levered FCF	(83)	(125)	(104)	(104)	c.(134)
UFCF / EBITDA	41.5%	38.0%	50.4%	51.1%	51.1%
LFCF / EBITDA	<i>n.a.</i>	<i>n.a.</i>	<i>n.a.</i>	<i>n.a.</i>	<i>n.a.</i>

Source: 9fin key financials, income statement and cash flow statement (company ID 790); LTM to 27-Jun-26. EBITDA is available on a post-IFRS 16 basis only; pre-IFRS 16 EBITDA and leverage are *not available - further diligence required (annual report EBITDA reconciliation)*. The PF column is a CMCK estimate: it adds 9fin's c.GBP 30m incremental-interest assumption and the GBP 27m of net new debt. c.GBP 535m ex-LDC EBITDA is 9fin's estimate. FY25 cash tax was a net receipt. The GBP 50m FY25 gap between Adj. and reported EBITDA reflects restructuring add-backs.

REVENUE SPLITS (GBPM)

By geography

	FY22	FY23	FY24	FY25
North America	710	671	627	577
United Kingdom	593	648	620	599
Continental Europe	468	519	517	522
Asia Pacific	235	287	283	285
Other	0	0	10	16
Total	2,006	2,125	2,057	1,999

H1-26 (new basis): NA 260 / UK 239 / International 314 = 813. UK is c.30% of revenue but c.36% of FY24-25 EBITDA.

By revenue type

	FY22	FY23	FY24	FY25
Visitor	1,630	1,748	1,704	1,644
Accommodation	300	297	286	277
Other	76	80	67	78
Total	2,006	2,125	2,057	1,999

By brand group (LTM Sep-24 only): LEGOLAND Parks 43% / Gateway 36% / Resort Theme Parks 21%. A multi-year series is *not available - further diligence required (annual report segment note)*.

MANAGEMENT & SPONSOR REPRESENTATION

Name	Role	Relevant experience
Fiona Eastwood	Group CEO (interim Nov-24, permanent Feb-25)	Joined Merlin 2015 (Gateway marketing); COO of global attractions 2019-24; previously BBC Worldwide. Stepped down as director of the UK opco on 13-Aug-26 (replaced by Mike Vallis) while remaining Group CEO
Pablo Sconfianza	CFO (interim Apr-25, permanent Sep-25)	Former Group Financial Controller, British American Tobacco; finance director roles in Malaysia, Romania and Russia (web-verified; not in 9fin)
Mike Vallis	SVP UK; director of Merlin Attractions Operations Ltd (from 13-Aug-26)	Internal promotion; further background <i>not available - further diligence required (Companies House)</i>
KIRKBI / Blackstone / CPP Investments	Shareholders	Joint statement on 10-Sep-26 of support for management and strategy; no equity injected. Named board representatives <i>not available - further diligence required (Companies House)</i>

RECENT NEWS (CREDIT-RELEVANT)

Date	Description	Source
17-Sep-26	GoldenTree and Monarch confirmed as leads; SSNs sell off on dilution concerns while SUNs rally and CDS diverges	9fin
16-Sep-26	Moody's affirms Caa1 CFR, cuts senior secured to Caa2, outlook to negative	Moody's
14-Sep-26	S&P places Motion Midco B- senior secured rating on CreditWatch Negative	S&P
11-Sep-26	Q2-26 earnings flash: sales -6.4% YoY, EBITDA +7.6% YoY, net leverage 9.5x	9fin
10-Sep-26	Merlin announces GBP 657m secured term loan to refinance 2027 SUNs, secured partly on previously unencumbered UK assets	Merlin RNS
10-Sep-26	9fin analysis: refi a temporary fix; mid-term cap stack risk remains; c.10.1x ex-LDC leverage	9fin
08-Sep-26	CLOs hold SUN positions ahead of refi; net secured leverage 5.6x vs 10x springing covenant	9fin
28-Aug-26	Private credit refi proposal for c.GBP 627m SUNs; Oaktree among funds	9fin
27-Aug-26	Merlin mandates PJT Partners on 2027 maturities	9fin
25-Aug-26	Firms pitch on 2027 maturity; secured group with Gibson Dunn; CEO leaves UK opco board	9fin
19-Jun-26	9fin analysis: options for the SUNs (sale-leaseback, unencumbered assets); UK Gateway and resort sites mostly leased	9fin
09-Jun-26	Merlin hires Kirkland; springing maturity disclosed (RCF 15-Jul-27, TLB/SSN 15-Aug-27)	9fin
21-May-26	Q1-26: revenue -3.9% YoY, underlying EBITDA GBP -13m (seasonal); refi options under evaluation	9fin
24-Mar-26	FY25 results: GBP 1,999m revenue; GBP 262m Madame Tussauds impairment; LDC sale completed Feb-26	Merlin / 9fin
20-Aug-25	S&P downgrades Merlin to CCC+ after H1-25 EBITDA -10.8% YoY	9fin

RECOMMENDATION

Add to restructuring watchlist: Yes. The September refinancing resolves the near-term event but not the balance sheet.

1. Leverage / maturity wall: active (primary). Net leverage is c.9.6x PF, or c.10.2x on 9fin's ex-LDC EBITDA, and has not fallen since FY24. LFCF is negative, at c.GBP -134m a year PF. The next wall is GBP 1.9bn of TLBs in Nov-29, followed by GBP 1.3bn of SSNs in 2030-32, and has to be addressed during 2028. Fixed secured debt capacity has now been largely used on the new facility, and secured paper trades at 63-70. On current trajectory, a par refinancing of the remaining stack does not look available without deleveraging or new equity.

2. Liquidity: not active; approaching over 2027-28 (secondary). GBP 466m of liquidity against c.GBP 134m of annual burn gives time but no margin for further UK weakness. The PF cash position at close is not yet disclosed.

3. Covenant trip: not active. The RCF springing test (10.0x net secured, only above 40% drawn) is far from live at 9% drawn and c.6.7x PF net secured.

For creditors in the existing secured stack, the deal trades an avoided 2027 default for a larger, more senior-leaning creditor group ahead of or alongside them. The open diligence points that would change the recovery picture are:

- the facility agreement and intercreditor (confirmed ranking, springing trigger, whether the PCL super senior basket was used)
- the value and EBITDA of the UK Portfolio
- the pre-IFRS 16 EBITDA.

The Gibson Dunn group is the natural counterparty for any future LME or A&E. Watch items: Q3-26 (peak season) and UK trading; closing of the new facility and SUN redemption mechanics; S&P's CreditWatch resolution; any further use of baskets to raise priority debt.